

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester V Examination, 2022-23

Paper No. BCH-311: Advanced Company Accounts

Time: 3 Hours

Maximum Marks: 70

*Instructions: Attempt all questions. All questions carry equal marks (14 marks each).***Question 1.**

The extracts of various accounts from the books of X Ltd. as on 31 extsuperscriptst March, 2021 are as follows:

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
50,000 Equity Shares of Rs. 20 each	10,00,000	Profit of the year	10,00,000
10,000, 6% Preference Shares of Rs. 100 each	10,00,000	Loan from Bank	50,000
General Reserve	8,00,000	S. Creditors	2,00,000
Stock	6,80,000	Goodwill	5,00,000
Stores & Spares	1,30,000	Investments	9,00,000
S. Debtors	6,76,000	Cash and Bank Balance	1,80,000
Land and Building	2,80,000	Preliminary Expenses	20,000
Plant and Machinery	6,60,000	Furniture & Fittings	24,000

X Ltd. is taken over by Y Ltd. under the following arrangements:

- (1) All the assets and liabilities are taken over.
- (2) Plant and Machinery is taken over at 10% less.
- (3) Furniture and Fittings are taken over at 20% less.
- (4) Investments and stock are taken over at 5% higher value.
- (5) X Ltd. settled an unprovided contingent liability of Rs. 30,000 at one-third of the value.
- (6) The purchase consideration is to be met by issuing 4 fully paid equity shares of Rs. 10 each of Y Ltd. for each equity share in X Ltd., 20 fully paid equity shares of Rs. 10 each of Y Ltd. for each preference share in X Ltd., and Rs. 5,00,000 in cash.

Show with full detail the calculation of purchase consideration and pass necessary entries in the books of X Ltd. [14]

OR

What is amalgamation in the nature of merger? Also give entries to record amalgamation in the nature of merger in the books of transferor company. [14]

Question 2.

The balances of various accounts of Roogna Ltd. as on 31 extsuperscriptst March, 2022 are as follows:

Accounts with Credit Balances	Amount (Rs.)	Accounts with Debit Balances	Amount (Rs.)
10,000 Equity Shares of Rs. 100 each	10,00,000	Goodwill	2,25,000
5,000, 10% Preference Shares of Rs. 100 each	5,00,000	Land and Building	4,50,000
9% Debentures	8,00,000	Plant and Machinery	4,05,000
Sundry Creditors	3,00,000	Patents	3,00,000
		Stock	2,60,000
		Debtors	3,10,000
		Cash in Hand	1,50,000
		Preliminary Expenses	2,00,000
		Profits and Loss A/C	3,00,000
Total	26,00,000	Total	26,00,000

The following scheme of internal reconstruction is approved:

- Equity shares are to be reduced to shares of Rs. 50 each as fully paid.
- Preference shares are to be reduced by 40% and the rate of dividend is to be increased to 12%.
- The value of land and building is to be increased by 20%.
- All fictitious assets are to be eliminated. A Patent right that was acquired for Rs. 50,000 is now of no use.
- Creditors have agreed to waive 20% of their total claim if they are paid 50% of the balance amount immediately.

Pass necessary entries to record reconstruction of the company. Apply your reason regarding goodwill. [14]

OR

Differentiate between alteration of share capital and reduction of share capital. [14]

Question 3.

Explain the calculation of cost of control and minority interest in the preparation of consolidated balance sheet of Holding Company. [14]

OR

From the following Balance Sheets of H. Ltd. and S. Ltd., prepare the consolidated Balance Sheet as at 31-03-2022:

Particulars	H. Ltd. (Rs.)	S. Ltd. (Rs.)
I. Equity and Liabilities		
(1) Shareholder's Funds		
Equity Share Capital (Shares of Rs. 100 each)	10,00,000	4,00,000
Reserves and Surplus:		
P & L A/C	6,00,000	3,00,000
General reserve	1,00,000	–
(2) Non-Current Liabilities	5,00,000	1,00,000
(3) Current Liabilities		
Sundry Creditors	3,00,000	50,000
Total	25,00,000	8,50,000
II. Assets		
(1) Non-current Assets		
Sundry Assets	14,50,000	7,00,000
Investments (3,000 Shares of S. Ltd.)	7,00,000	–
(2) Current Assets		
Cash and Other Current Assets	3,50,000	1,50,000
Total	25,00,000	8,50,000

The shares in S. Ltd. were acquired by the H. Ltd. on 1-4-2021. On that date, the P & L A/C of the S. Ltd. showed a balance of Rs. 50,000. [14]

Question 4.

A winding up order was issued against Alfa Ltd. and the following information is obtained with regard to the assets and liabilities as on 30 extsuperscriptth June, 2006:

- Land and Building (book value Rs. 4,50,000) valued at Rs. 3,75,000.
- First Mortgage of Land and Building: Rs. 3,00,000.
- Second Mortgage of Land and Building: Rs. 1,12,500.
- Managing Director's salary unpaid (6 months): Rs. 22,500.
- Staff Salary Unpaid (one month): Rs. 16,050.
- Debtors (Good): Rs. 31,500.
- Debtors (Bad): Rs. 72,750.
- Doubtful Debtors (estimated to realise 50 percent): Rs. 12,900.
- Bank Overdraft (unsecured): Rs. 58,125.
- Cash in Hand: Rs. 825.
- Plant and Machinery (book value Rs. 2,47,500), estimated to realize Rs. 1,74,000.
- Stock (at cost Rs. 50,850), estimated to realize Rs. 33,900.
- Issued Capital: Equity shares of Rs. 10 each fully called-up: Rs. 1,50,000.
- Calls in arrears: Rs. 3,000 (estimated to realise Rs. 1,500).
- Unsecured creditors: Rs. 2,96,250.
- 8% Debentures carrying a floating charge on the undertaking: Rs. 1,50,000.

- Interest on debentures for 1 extsuperscriptst September and 1 extsuperscriptst April were paid on due dates.
- A Contingent liability for damages of Rs. 37,500 is estimated to be settled for Rs. 18,000.
- Income-tax liability: For 30 June, 2004: Rs. 5,250; For 30 June, 2005: Rs. 1,275; For 30 June, 2006: Rs. 2,700.
- The reserves of the company on 1 extsuperscriptst July, 2005 amounted to Rs. 7,500.

You are required to prepare a statement of affairs.

[14]

OR

Write a note on any one of the following:

[14]

(a) Deficiency Account

(b) Liquidator's Final Statement of Account

Question 5.

What is ESOP? Give the accounting entries to record ESOP when it is used as a share based payment system.

[14]

OR

What is earning per share? How is it calculated?

[14]